

Reading the BES terms after OCR Prospectus closure addendum

LegalMath development study

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The scanned final terms for three Banco Espírito Santo issues can now be read by the local prospectus tools. Recovering their text closes an extraction gap, but it also makes the remaining legal problem more precise: a promise printed in the final terms must be read with the base prospectus, its amendments and any applicable external law. The current work supplies reviewed text, a detailed list of incorporated documents and conditional calculations from the retained terms. It leaves all three BES issue dossiers unresolved.

ResearchAssistant contains adapters for Marker and MinerU, but the executables were unavailable in the inspected installation. The existing PyMuPDF installation provided a working CPU OCR engine after the official English language-data file was stored locally. No additional executable or Python package was installed. Seventeen pages from Series 23, 35 and 36 were processed. Eighteen distinct page images were inspected, including page 287 of the 2010 base prospectus.

What the page images changed

OCR inserted an extra character in the Series 23 identifier and damaged the Series 35 day-count convention. Comparing the text with the retained page images restored PTBEQBOM0010 and *Actual/Actual (ICMA)*. The review records 23 explicit corrections. They also repair issuer names, a date, the ordering of a clearing-system entry and a damaged qualification concerning Eurosystem eligibility. Raw OCR, corrected text and the page images remain separately available, with their identities recorded.

Two empty extractions are genuine blank pages: page 6 of the Series 35 final terms and page 287 of the 2010 base prospectus. Treating either as a missing clause would incorrectly block text coverage. Treating every empty extraction as blank could hide a page of operative terms. The intake therefore requires an image-bound review for each blank-page declaration.

The review covers the material printed identifiers, dates, payment terms, exceptions, cross-references and eligibility qualifications. Some immaterial spacing and signature noise remains. The review neither authenticates signatures nor certifies a perfect transcription of every glyph. A changed image, missing review, unsupported text alteration or false OCR declaration causes the new admission checks to reject the derivative.

All seven retained offering inputs now have complete text coverage under the recorded blank-page decisions. The reader still returns five abstentions and two conditional positive readings. The repaired extraction therefore supplies usable evidence without establishing a new legal answer. The older reader also reported that OCR had never been performed; the successor admission layer corrects that field for verified derivatives and retains the original result.

Which statements prevail

All fifteen BES bases, supplements and final terms listed in the earlier plan were already stored locally. The review identifies 29 further incorporated dependencies, including selected historical conditions and financial statements. This is a list of programme incorporation requirements, not a conclusion that every historical condition governs each issue. Series 23 refers to the 2010 base and six supplements. Series 35 refers to the 2013 base and two supplements; Series 36 adds the February and April 2014 supplements.

The 2013 base incorporates the section on terms and conditions, excluding undated deeply subordinated notes, from eight earlier base prospectuses. It also lists precise pages from the financial reports. Reading an entire old prospectus as operative would extend incorporation beyond the stated section. Conversely, discarding every old edition because a newer prospectus exists could omit conditions expressly retained by reference.¹

The supplements do not impose a universal *latest document wins* rule. Their precedence language concerns inconsistent statements or modification to the extent applicable. Some amendments are explicit. The February 2014 supplement replaces the Portuguese tax section and deletes the former tax forms. The April supplement replaces Summary B12 and the statements about significant or material change. Its incorporated 2013 accounts were still subject to the scheduled shareholder approval when the supplement was published; the later occurrence of that approval needs separate evidence.

Section numbering reveals a concrete ambiguity. The November 2013 supplement renumbers the financial-transaction-tax risk as 1.17. The April 2014 supplement inserts a KPMG audit risk under the same number. The successor retains both records and reports the conflict. It does not let the second numerical key erase the first risk.²

Calculating a conditional coupon

Series 35 specifies an annual rate of 4 percent and an issue amount of EUR 750 million. Series 36 specifies 2.625 percent on the same issue amount. Both select Actual/Actual (ICMA). For Interbolsa notes, the base prospectus applies the interest rate to the full outstanding nominal amount. Let N denote that amount in euros, r the annual rate as a decimal, d the accrual days, D the days in the relevant determination period and m the number of determination dates per year. For the short or regular period described in Condition 5(a), the unrounded coupon is

$$I = Nr \frac{d}{Dm}.$$

Dates include the start and exclude the end. For a long period spanning the two determination periods covered by the printed formula, the fraction becomes $d_1/(D_1m) + d_2/(D_2m)$.³

For a full annual period, $d = D$ and $m = 1$. If the original nominal amount remains outstanding, the coupons are therefore EUR 30 million for Series 35 and EUR 19,687,500 for Series 36. These amounts are conditional calculations, not evidence of what holders were actually paid. Early redemption, purchases, cancellation, external law and the complete issue documentation still matter.

¹BES base prospectus, 17 July 2013, printed pp. 58–59, PDF pp. 59–60. The detailed dependency table and exact quotations are retained in the dossier review.

²Supplement, 6 November 2013, p. 2; Supplement, 23 April 2014, p. 6.

³BES base prospectus, Condition 5(a), printed pp. 95–96, PDF pp. 96–97. The implementation retains exact rational arithmetic until currency rounding.

A partial period exposes why the denominator cannot silently become 365. From 21 January to 21 July 2016 there are 182 accrual days in a 366-day annual determination period. On EUR 100,000 at 4 percent, the printed formula gives

$$100,000(0.04)\frac{182}{366} = 1,989.071\dots,$$

or EUR 1,989.07 under the printed half-up cent rule. The base also allows an applicable market convention. The calculator requires the caller to select the supported convention explicitly; an unknown convention produces no amount. For Interbolsa notes, rounding occurs after calculating on the outstanding nominal amount. Rounding each holding before aggregation can give a different answer at half-cent boundaries.

Qualifications that must survive

The final terms deem a clearing-system notice delivered on the second business day after it is given to Interbolsa. The calculator needs a complete calendar for those dates. It cannot infer holidays from weekdays. Likewise, checking the tax-redemption notice's 30–60-day interval does not establish the tax trigger or settle a disputed legal counting rule.

The final terms answer *Yes* to intended arrangements for Eurosystem eligibility, then explain that this does not necessarily mean recognition as eligible collateral. Recognition depends on the eligibility criteria. The successor records the intended arrangement and leaves actual collateral eligibility unknown.⁴

The focused suite passes 66 tests covering derivative provenance, altered negation, blank pages, day counts, rounding, missing facts and section conflicts. The preserved 4 October candidate has its own 885-test result. Neither count measures independent legal accuracy. Twenty-five review forms are prepared for qualified adjudicators, and the original cohort's 1,467 unresolved records remain available across 1,307 source spans. Those records are a development inventory, not an error-rate estimate.

Further closure requires exact incorporated reports and operative instruments, resolution of document conflicts, source-supported repairs across the original cohort, actual investigation facts and independent labels. A future unseen evaluation must exclude every prospectus already inspected. Human review of this rendered explanation and intended-use acceptance also remain pending. The present repairs can be retained and tested without treating those pending steps as completed.

⁴Series 35 final terms, pp. 2 and 5; Series 36 final terms, pp. 2 and 5.